

NVIDIA (NVDA) Research Report

Date: September 3, 2026

Company: NVIDIA Corporation (NASDAQ: NVDA)

Business overview

NVIDIA is an accelerated-computing company. It combines GPUs, CPUs, networking, systems, and software for AI, data-center computing, gaming, professional visualization, automotive, robotics, and digital-twin applications. It has expanded from PC graphics into these computationally intensive markets. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

The investment question is whether NVIDIA can sustain AI-infrastructure demand while preserving its technology-platform advantage through export-control, supply-chain, customer, and competitive risks.

MD&A reading

Strengths

FY2026 revenue was \$215.9 billion, up 65% from FY2025. Compute & Networking revenue increased 67% to \$193.5 billion, while Graphics increased 57% to \$22.5 billion. Management attributed Data Center growth to continued shifts toward accelerated computing and AI. Gaming, professional visualization, and automotive revenue increased 41%, 70%, and 39%, respectively. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

Liquidity is also strong: at January 25, 2026, NVIDIA reported \$62.6 billion of cash, cash equivalents, and marketable securities and said it believed it could meet operating requirements and future obligations. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

Risks and weaknesses

China is the clearest disclosed risk. NVIDIA says it was effectively foreclosed from China's data-center-compute market at the end of FY2026 by U.S. export controls. It states that this can help competitors build developer and customer ecosystems that challenge NVIDIA worldwide. The company recorded a \$4.5 billion H2O inventory and purchase-obligation charge in Q1 FY2026 after demand diminished under licensing requirements. [FY2026 Form 10-K, Item 7 and Item 1A](#)

FY2026 gross margin was 71.1%, compared with 75.0% in FY2025; operating income was 60.4% of revenue, compared with 62.4%. These remain high margins, but the declines show that revenue growth does not assure ongoing margin expansion. [FY2026 Form 10-K, Item 7](#)

(MD&A)

Management identifies uncertain supply and capacity availability, long manufacturing lead times, reliance on third-party suppliers, competition, product defects, and rapid technological change as significant risks. [FY2026 Form 10-K, Item 1A](#)

Five direct customers represented 22%, 14%, 13%, 11%, and 10% of Q2 FY2027 accounts receivable. This is not a measure of revenue concentration, but it shows that receivables at quarter end were concentrated among a small number of direct customers. [Q2 FY2027 Form 10-Q](#)

Performance against NVIDIA's history

Fiscal year	Revenue	Net income
FY2024	\$60.9B	\$29.8B
FY2025	\$130.5B	\$72.9B
FY2026	\$215.9B	about \$120.1B

The growth is extraordinary, but it also makes future comparisons harder. The figures above come from NVIDIA's FY2024, FY2025, and FY2026 annual reports. [FY2024 Form 10-K](#) | [FY2025 Form 10-K](#) | [FY2026 Form 10-K](#)

Q2 FY2027 extended the momentum: revenue was \$96.2 billion, up 18% sequentially and 106% year over year; Data Center revenue was \$89.0 billion, up 117% year over year; GAAP gross margin was 75.0%; and GAAP net income was \$59.7 billion. [Q2 FY2027 results](#) | [Q2 FY2027 Form 10-Q](#)

Outlook, call, and limits

For Q3 FY2027, NVIDIA guided to revenue of \$108.0 billion, plus or minus 2%, and GAAP gross margin of 74.0%, plus or minus 50 basis points. The outlook assumes no Data Center compute revenue from China. This is management guidance, not a guarantee. [Q2 FY2027 results](#)

On the Q2 FY2027 call, CEO Jensen Huang argued that continuously operating agentic AI could increase demand for compute. That is management's view, not an independently verified forecast. [Q2 FY2027 earnings-call transcript](#)

Recent news adds a strategic development, not a reason by itself to buy the stock. The Associated Press reported on September 3 that NVIDIA agreed to acquire AI software platform Hugging Face for about \$13 billion while keeping it open and multi-accelerator. I view this as a potential way to deepen NVIDIA's developer ecosystem, but it creates execution and integration questions. This report does not assume financial benefits from the

transaction. [Associated Press, September 3, 2026](#)

Current call: Watch-defer - wait for more information before making a decision. My judgment is that NVIDIA is an exceptionally strong operating business, but not yet a complete investment case. The evidence supporting a positive view is its FY2024-FY2026 revenue expansion, Q2's 106% year-over-year growth and 75.0% gross margin, and Q3 guidance despite no assumed China Data Center compute revenue. The evidence supporting caution is the China exclusion, the H20 charge, concentrated receivables, supply-chain dependence, and the absence of a valuation analysis in this report. [FY2026 Form 10-K](#) | [Q2 FY2027 results](#) | [Q2 FY2027 Form 10-Q](#)

What would change this call: I would consider initiating if the next results confirm demand and gross-margin resilience, the company continues diversifying revenue outside China, and a valuation review indicates a reasonable return relative to these risks. I would become more negative if AI-infrastructure demand or gross margins weakened materially, export restrictions expanded, or large customers reduced orders.

Sources added beyond the main filing

- [NVIDIA FY2025 Form 10-K](#)
- [NVIDIA FY2024 Form 10-K](#)
- [NVIDIA Q2 FY2027 Form 10-Q](#)
- [NVIDIA Q2 FY2027 earnings release](#)
- [NVIDIA Q2 FY2027 earnings-call transcript](#)
- [Associated Press report on NVIDIA's Hugging Face acquisition, September 3, 2026](#)

This report was written for FIN 43900 (AI Finance Applications, Purdue) as a learning exercise. It is not investment research and it is not financial advice.

AI assistance: drafted with Codex, resumed from my Lab 03 session; sources gathered and verified by me; the judgments are mine.

Any remaining errors are my own